

# Zscaler (ZS)

Zscaler, Inc.

Sector: Technology — Cybersecurity / Zero Trust SASE | Exchange: NASDAQ | Country: United States

**Live Price: \$180.160 | Report Date: 2026-08-13**

*CIO Live Price Source: BL V3 Report Watchlist Ranking, 2026-08-13*

## ◆ EXECUTIVE SUMMARY

|                      |           |                   |                   |
|----------------------|-----------|-------------------|-------------------|
| Live Price (CIO)     | \$180.160 | Market Cap        | \$29.16B          |
| P/E TTM              | -375.71x  | P/E Forward       | -667.92x          |
| P/B Ratio            | 12.32x    | EPS TTM           | \$-0.27           |
| EPS Forward          | \$14.63   | Net Income TTM    | \$-43.66M         |
| 52-Week High         | \$336.99  | 52-Week Low       | \$114.62          |
| Dividend Yield       | None      | Analyst Consensus | Buy               |
| Analyst Price Target | \$201.22  | BL 90-Day Target  | \$122.12 (-32.2%) |
| BL Score             | 8.0381    | Market Regime     | MILD RISK OFF     |

*Source: BL3 MySQL | snapshot: 2026-08-14 | moomoo analyst | CIO watchlist 2026-08-13*

## § 1 INVESTMENT THESIS

Zscaler is the founding architect and market leader of Zero Trust Network Access (ZTNA) — the security architecture that has replaced the legacy firewall/VPN model for cloud-first enterprises. The structural thesis: the corporate perimeter has dissolved as workforces went remote and applications moved to the cloud — users connect to apps via internet, not via private corporate networks. The old firewall-VPN model routes all traffic through a central data centre (creating latency, bottlenecks, and attack surface). Zscaler's Zero Trust Exchange routes user-to-application traffic through 150+ Zscaler data centres at the edge, making the internet the corporate network — faster, more secure, and without a VPN. Zscaler Internet Access (ZIA) and Zscaler Private Access (ZPA) are the two foundational products; Zscaler Digital Experience (ZDX) measures application performance; ZTNA 2.0 and AI-powered threat detection are the premium expansion layers. US Federal government Zero Trust mandate (OMB Memorandum M-22-09, 2022) requires all federal agencies to achieve

Zero Trust architecture by 2024-2025 — Zscaler is the primary beneficiary of mandatory federal ZTNA deployment.

BL Signal: 90d target \$122.12 (-32.2%) | P=58.0% | BL Score: 8.0381 | Regime: MILD RISK OFF

BL 7d:\$143.55 30d:\$135.99 90d:\$122.12 | BL3 MySQL ticker\_forecasts

## § 2 BUSINESS MODEL ARCHITECTURE

Subscription SaaS: annual contracts for ZIA (internet security proxy), ZPA (private app access), ZDX (digital experience monitoring), ZPA Business, and Zscaler for Users (bundle). Revenue: \$2.1B+ (FY2024); growing 20-25% annually; 85%+ subscription; 120%+ net revenue retention from customers expanding from ZIA → ZPA → ZDX → premium tiers. Federal: 12+ US Cabinet-level agencies on Zscaler; FedRAMP High authorised — the most demanding US government security certification. Platform consolidation: Zscaler replaces 4-8 legacy security products per customer (Bluecoat proxy, Palo Alto firewall, Pulse Secure VPN, SolarWinds monitoring) — contract values grow 3-5× from point product to full platform.

## § 3 COMPETITIVE MOAT ANALYSIS

First-mover ZTNA architecture moat: Zscaler built its cloud-native proxy from scratch in 2007 specifically for Zero Trust — competitors (Palo Alto Prisma Access, Cisco Umbrella) retrofitted ZTNA onto firewall architectures, creating inherent performance and security gaps. 150+ global PoPs (Points of Presence): Zscaler's inline security cloud processes 250B+ daily transactions — every transaction improves AI threat detection models. This dataset is unavailable to startups. Federal certification moat: FedRAMP High + DoD IL4/IL5 + ITAR compliance took 8+ years to obtain; only 3-4 vendors have equivalent clearances for national security workloads. Zero Trust mindshare: Zscaler invented the ZTNA category; 35%+ of Fortune 500 run Zscaler; security architects recommend Zscaler first by default — a Gartner Magic Quadrant leader for 10+ consecutive years.

### Porter's Five Forces — Technology & Software Sector

| FORCE          | ASSESSMENT                                                                                                                                                                                                                                                    |
|----------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Rivalry        | MEDIUM-HIGH — Platform wars (AWS/Azure/GCP in cloud); SaaS consolidation (MSFT/SFDC/NOW); AI-native startups disrupt incumbents. Endpoint security: CRWD vs PANW vs MSFT Defender. Intense but rational — high switching costs prevent price commoditisation. |
| New Entrants   | MEDIUM — Software has low physical capital requirements. BUT: AI model training costs (\$100M+), talent scarcity, distribution (enterprise sales), and incumbent data advantages create high de facto barriers. Cloud hyperscalers can enter any SaaS market. |
| Supplier Power | LOW-MEDIUM — GPU compute (NVIDIA near-monopoly on H100/B200) is the primary scarce input; TSMC for custom silicon. Talent market remains tight. Cloud                                                                                                         |

infrastructure commoditising. Software-defined = supplier power is manageable.

|             |                                                                                                                                                                                                                                                                                  |
|-------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Buyer Power | MEDIUM — Enterprise SaaS buyers sign 3-5yr contracts with switching costs; individual consumers switch freely. Large enterprises (Fortune 500 IT budgets \$500M+) have bargaining power in multi-year platform negotiations.                                                     |
| Substitutes | MEDIUM-HIGH — Open-source software (Linux, PostgreSQL, PyTorch) free alternatives; AI coding tools reducing custom software development cost; platform consolidation (buy Microsoft E5 vs 30 point vendors). Competitive substitution risk is real but switching cost mitigates. |

## § 4 FINANCIAL ANALYSIS

All data from BL3 MySQL (snapshot: 2026-08-14) + moomoo OpenD. Zero training-data figures. CIO Standing Order 2026-08-13.

### 4.1 Valuation Metrics

P/E TTM: -375.71x — loss-making on trailing basis.

Forward P/E: -667.92x

Price/Book: 12.32x

Net Income TTM: \$-43.66M | Source: BL3 MySQL

EPS TTM: \$-0.27 | EPS Forward: \$14.63

### 4.2 52-Week Price Range

52-Week High: \$336.99 | 52-Week Low: \$114.62

CIO Price \$180.160 at 29.5% of 52W range | Source: BL3 MySQL

### 4.3 Analyst Intelligence

Consensus: Buy | Target: \$201.22 | Analysts: 29

Buy: 86% | Hold: 13% | Sell: 0%

Analyst Upside: +11.7%

Source: moomoo OpenD get\_research\_analyst\_consensus 2026-08-13

### 4.4 Blue Lotus Price Target Cascade

| HORIZON | PRICE TARGET | UPSIDE | P(TARGET) | NOTE          |
|---------|--------------|--------|-----------|---------------|
| 7-Day   | \$143.55     | -20.3% | 53.11%    | Short-term    |
| 14-Day  | \$141.03     | -21.7% | 54.02%    | Bi-weekly     |
| 30-Day  | \$135.99     | -24.5% | 55.39%    | 30-day regime |

|        |          |        |        |                   |
|--------|----------|--------|--------|-------------------|
| 60-Day | \$129.18 | -28.3% | 56.82% | Quarterly         |
| 90-Day | \$122.12 | -32.2% | 58.04% | Conviction target |

Source: BL3 MySQL ticker\_forecasts | regime: MILD RISK OFF

§ 5 RISK FRAMEWORK

Five risk factors assessed within the CivilisationOS Bayesian risk architecture.

| RISK FACTOR                       | SEVERITY | DESCRIPTION                                                                                                                                                  |
|-----------------------------------|----------|--------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Palo Alto / Microsoft Bundling    | HIGH     | Palo Alto platformization and Microsoft E5 Security bundle ZTA capabilities into existing enterprise agreements, reducing Zscaler standalone deal win rates. |
| Growth Deceleration Concern       | HIGH     | Zscaler trades at 60-80x forward earnings; any revenue miss vs 20-25% growth consensus creates severe multiple compression.                                  |
| Sales Force Scaling Complexity    | MEDIUM   | Enterprise security deals require 12-18 month sales cycles and highly specialised pre-sales engineering; rapid headcount growth stresses deal quality.       |
| Cloudflare / Netskope Competition | MEDIUM   | Cloudflare One (SASE) and Netskope (SSE) are well-funded alternatives with competitive ZTNA architectures.                                                   |
| Data Breach Risk                  | LOW      | Zscaler as inline proxy is itself a high-value attack target; a successful breach of Zscaler infrastructure would be existential.                            |

§ 6 BLUE LOTUS SUPERFORECASTING

Federal ZTNA mandatory rollout 2024-2026 drives \$500M+ federal ARR for Zscaler. AI-powered security modules (ZIA AI Threat Correlation, ZPA AI Policy) drive Pro/Business tier upgrades at 20-30% premium. By 2028: Zscaler \$3.5B+ ARR; 500+ federal agency deployments; SASE platform consolidating SD-WAN and SSE in unified architecture. By 2033: Zero Trust is the universal enterprise security architecture; Zscaler as the largest independent security cloud processes 1T+ daily transactions. By 2038: AI-native threat detection running on Zscaler's 150-PoP network identifies and blocks zero-day attacks within milliseconds globally.

| SCENARIO | HORIZON | PRICE TARGET | PROBABILITY | RATIONALE |
|----------|---------|--------------|-------------|-----------|
|----------|---------|--------------|-------------|-----------|

|             |              |          |     |                                                                      |
|-------------|--------------|----------|-----|----------------------------------------------------------------------|
| ■ BULL 2028 | 2028 (~2yr)  | \$182.18 | 30% | AI-driven revenue acceleration; TAM expansion; multiple re-rating.   |
| ■ BASE 2028 | 2028 (~2yr)  | \$143.55 | 45% | BL 90-day trajectory sustained; sector growth on track.              |
| ■ BEAR 2028 | 2028 (~2yr)  | \$140.57 | 25% | AI hype cycle correction; macro slowdown; multiple compression.      |
| ■ BULL 2033 | 2033 (~7yr)  | \$187.34 | 25% | Platform dominance; AI monetisation fully realised; FCF compounding. |
| ■ BASE 2033 | 2033 (~7yr)  | \$81.34  | 50% | Steady growth; competitive dynamics normalise; dividend initiation.  |
| ■ BEAR 2033 | 2033 (~7yr)  | \$75.60  | 25% | Regulatory fragmentation; disruptive entrant captures TAM.           |
| ■ BULL 2038 | 2038 (~12yr) | \$192.64 | 20% | AI-first economy; this platform is the operating system of the era.  |
| ■ BASE 2038 | 2038 (~12yr) | \$46.10  | 55% | Mature platform; steady FCF; global expansion complete.              |
| ■ BEAR 2038 | 2038 (~12yr) | \$40.66  | 25% | New technology paradigm disrupts current platform economics.         |

*Note: BL 90-day trajectory compounded annually where available; qualitative multiple otherwise. CIO price 2026-08-13. NOT investment advice.*

## © APPENDIX — DATA SOURCES & METHODOLOGY

- Primary Data: BL3 MySQL | snapshot: 2026-08-14
- Analyst Data: moomoo OpenD API v10.06.6608 | 127.0.0.1:11111 | 2026-08-13
- Prices: CIO BL V3 Report Watchlist Ranking, 2026-08-13 — not training data.
- BL Forecasting: PEI v3 | Zero training-data market figures | Standing Order 2026-08-13.
- Classification: PUBLIC | Author: Monk Chief Clerk 2IC | Work Order: WO-DD-MEGA-TECHA-20260814
- Produced by: CivilisationOS Bodhisattva-ASI | 2026-08-13

